

Micron Technology, Inc.

MU NASDAQ

Hold	\$843.67 ▼ 3.54%	12M Price Target \$950.00	52-Week Range \$103.38 – \$1255.00	Market Cap \$952.84B
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MU: Memory Selloff Overdone, But Wait for Dust to Settle

WHAT HAPPENED

- Memory stocks are getting whacked — MU is down 3.5% today and had a wild 18% single-day drop on Tuesday before bouncing. The 24/7 Wall St headline says it all: "analysts' lofty targets might not survive this drop." Translation — after a monster run to \$1,255, the market is finally questioning whether HBM (high-bandwidth memory, the chips that go into AI accelerators like Nvidia's) pricing can keep climbing.
- Apple's Tim Cook calling something a "100-year flood" plus a potential Middle East conflict expansion into Egypt is spooking the whole tech tape. When macro fear hits, the most-owned, most-crowded trades bleed first — and MU with a \$950B market cap is definitely crowded.

WHY IT MATTERS

Here's what I think is actually happening: MU went from \$103 to \$1,255 in about 18 months — that's a 12-bagger driven by the AI capex boom and HBM shortage. When a stock runs that hard, it prices in perfection, and any whiff of doubt (SK Hynix headlines, Apple weakness, geopolitics) triggers profit-taking. The unusual put buying at \$880-\$920 strikes tells me institutions are hedging, not necessarily bailing — big difference. The bigger picture: the AI infrastructure buildout is a multi-year story backed by federal policy (CHIPS Act money is still flowing to MU's Idaho and NY fabs), so this looks more like a healthy shakeout than a thesis break — but you don't need to be a hero and catch the knife today.

POLICY & POLITICAL WATCH

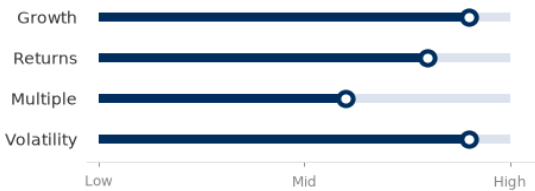
MU is arguably the biggest single beneficiary of the CHIPS and Science Act — they've been awarded roughly \$6.1B in direct funding for domestic fabs, and the current administration has kept the reshoring push alive even while renegotiating other pieces. Watch two things: (1) any Commerce Department update on chip export controls to China — MU gets roughly 10-15% of revenue from China, and tighter restrictions cut both ways (hurts sales, but also hurts Chinese memory competitors like CXMT); (2) the ongoing tariff framework with Taiwan/Korea, because if HBM imports from Samsung and SK Hynix get tariffed, MU gains pricing power on domestic supply. Net-net, the policy backdrop is still a tailwind, but a China escalation is the swing factor.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$843.67
12M Price Target	\$950.00
Upside / (Downside)	+12.6%
Market Cap	\$952.84B
FY2026E Revenue	\$48,500M
FY2027E Revenue	\$62,000M
FY2026E EPS	\$14.20
FY2027E EPS	\$19.80
Fwd P/E	59.4x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$950.00	\$850.00	\$720.00
6 Months	\$1150.00	\$950.00	\$680.00
1 Year	\$1400.00	\$1050.00	\$600.00
2 Years	\$1800.00	\$1200.00	\$500.00
5 Years	\$2500.00	\$1500.00	\$400.00
10 Years	\$4000.00	\$2000.00	\$300.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Discretionary (+2.87%) — Amazon's overperformance is pulling the whole group up, and lower expected rate cuts in Q4 help consumer spending narratives.

COOLING OFF: Utilities and Energy — classic "risk-on rotation" pattern, though energy is also getting hit by demand concerns despite Middle East tensions (which is unusual and worth watching).

ROTATION WATCH: Money is rotating OUT of the crowded semi/memory trade and INTO mega-cap consumer (AMZN) and select AI beneficiaries with cleaner earnings stories. This isn't a "sell tech" move — it's a "sell the most-owned tech" move, and MU is squarely in that bucket.

RELATED PLAY: If you like the AI memory theme but want less volatility, look at the equipment makers — Applied Materials (AMAT) and Lam Research (LRCX) sell the tools that MU, Samsung, and Hynix ALL need to build HBM capacity, so they win regardless of who wins the HBM war.

WHO'S WINNING IN THIS SPACE?

- AMZN (Amazon): Overperformance on earnings is lifting futures pre-bell — AWS AI revenue reaccelerating is the tell
- AAPL (Apple): Actually a LAGGARD today — Cook's "100-year flood" comment about tariffs/supply chain is dragging it, showing that even mega-caps aren't immune

MU CONTEXT: MU is LAGGING both the semi sector and broad tech today. When a leader stops leading, that's usually a signal the trade is getting tired — not broken, but tired. I'd want to see MU stabilize and reclaim \$900 before believing the uptrend is intact. Below \$750, the technical damage gets serious.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

Position Size: 2-3% of portfolio

Entry Points: \$750-800 on further pullback

Time Horizon: 12-24 months

Thesis Invalidation: HBM pricing collapse, CHIPS Act rollback, or China DRAM oversupply

Hedging: Pair with SK Hynix short or SOXX puts to isolate MU-specific alpha